



Bureau of Experts at the Council of Ministers
Official Translation Department

Electronic Transactions Law

Royal Decree No. M/18
March 27, 2007

Translation of Saudi Laws

NOTES:

1. This translation is provided for guidance. The governing text is the Arabic text.
2. The translation of Saudi laws takes the following into consideration:
 - Words used in the singular form include the plural and vice versa.
 - Words used in the masculine form include the feminine.
 - Words used in the present tense include the present as well as the future.
 - The word “person” or “persons” and their related pronouns (he, his, him, they, their, them, and who) refer to a natural and legal person.
3. Amendments to this Law are provided in the Appendix.

For any comments or inquiries, please contact the Official Translation Department at:

otd@boe.gov.sa



Electronic Transactions Law

Chapter 1: General Provisions

Definitions

Article 1

In this Law, the following words and phrases shall have the meanings assigned thereto, unless the context requires otherwise:

1. **Ministry:** Ministry of Communications and Information Technology.
2. **Minister:** Minister of Communications and Information Technology.
3. **Commission:** Communications and Information Technology Commission.
4. **Governor:** Governor of the Communications and Information Technology Commission.
5. **Regulations:** Implementing Regulations of the Law.
6. **Center:** National Center for Digital Certification.
7. **Computer:** Any stationary or portable, wired or wireless, electronic device which contains a system for processing, storing, sending, receiving, or browsing data, and performs specific functions according to programs and given commands.
8. **Person:** Any natural or legal person, whether public or private.
9. **Electronic:** Technology based on using electrical, electromagnetic, optical, or similar capabilities.
10. **Electronic Transactions:** Any exchange, communication, contracting, or other procedure performed or executed, wholly or partially, by electronic means.
11. **Electronic Data:** Data with electronic features in the form of texts, symbols, images, graphics, sounds, or any other electronic form, either collective or separate.
12. **Electronic Data System:** An electronic device or program, or more, used to generate, extract, send, transmit, receive, store, display, or process electronic data.
13. **Electronic Record:** Data which is electronically generated, sent, received, transmitted, or stored, and is retrievable in a perceivable form.
14. **Electronic Signature:** Electronic data included in, added to, or logically associated with an electronic transaction to verify the signatory's identity and approval and to detect any change made to said transaction after it is signed.
15. **Electronic Signature System:** An electronic data system specially designed to operate independently or with another electronic data system to generate electronic signatures.
16. **Signatory:** A person who makes an electronic signature in an electronic transaction using an electronic signature system.
17. **Digital Certificate:** An electronic document which is issued by a certification service provider to verify the identity of the person having an electronic signature system, and which includes signature verification data.



18. **Intermediary:** A person who receives an electronic transaction from an originator and delivers it to another person or performs other relevant services.
19. **Originator:** A person, other than an intermediary, who sends an electronic transaction.
20. **Addressee:** A person, other than an intermediary, to whom an electronic transaction is directed by an originator.
21. **Certification Service Provider:** A person licensed to issue digital certificates or perform any other service or task related thereto and to electronic signatures in accordance with this Law.

Objectives and Scope

Article 2

This Law aims to control and regulate electronic transactions and signatures, and provide a legal framework therefor, so as to achieve the following:

1. Setting unified rules for the use of electronic transactions and signatures and facilitating the implementation thereof in the public and private sectors by means of reliable electronic records.
2. Ensuring the credibility and integrity of electronic transactions, signatures, and records.
3. Facilitating the use of electronic transactions and signatures, locally and internationally, in all sectors, including government procedures, commerce, medicine, education, and electronic payments.
4. Removing obstacles facing the use of electronic transactions and signatures.
5. Preventing misuse and fraud in electronic transactions and signatures.

Article 3

This Law shall apply to electronic transactions and signatures, excluding the following:

1. Transactions relating to family-related matters.
2. Issuance of deeds relating to the disposition of real estate.

Unless the entity responsible for such transactions allows that they be performed electronically, in accordance with controls set by said entity in agreement with the Ministry.

Article 4

1. Nothing in this Law shall compel any person to engage in electronic transactions without his consent; such consent may be implicit or explicit.
2. Notwithstanding paragraph (1) of this Article, a government agency's consent to engage in electronic transactions must be explicit, taking into consideration the conditions set by the government agency for electronic transactions.
3. A person who intends to engage in electronic transactions may set additional conditions for accepting electronic transactions and signatures, provided that such conditions do not conflict with the provisions of this Law.



Chapter 2: Legal Effects of Electronic Transactions, Records, and Signatures

Article 5

1. Electronic transactions, records, and signatures shall have full effect and their validity and enforceability may not be contested, nor may the execution thereof be stayed on the grounds that they were wholly or partially conducted by electronic means, provided that the electronic transactions, records, and signatures are carried out in accordance with the conditions provided for in this Law.
2. Information resulting from an electronic transaction shall remain valid and enforceable if said information can be accessed through the electronic data system of the originator and the manner of accessing such information is indicated.

Article 6

1. Without prejudice to Article 3 of this Law, if any law in the Kingdom requires that any document or information be stored for any reason, such requirement shall be deemed satisfied if said document or information is stored or sent in the form of an electronic record, subject to the following:
 - a) The electronic record is stored in the form it was generated, sent, or received, or in a form that enables verifying that the contents thereof are identical to the contents in the form in which it was generated, sent, or received.
 - b) The electronic record is stored in a manner that enables use and retrievability.
 - c) Information specifying the originator and addressee of the electronic record as well as the date and time it was sent and received is stored with the record.
2. Any person may, at his own responsibility, assign another person to satisfy the requirements provided for in paragraph (1) of this Article.
3. The Regulations shall specify the procedures for storing electronic records and data, the conditions for producing such records and data in electronic format, and the conditions and controls for accessing the same.

Article 7

Without prejudice to Article 3 of this Law, if any law in the Kingdom requires that any document, record, or information provided to others be in writing, said requirement shall be deemed satisfied if the same is provided in electronic form in accordance with the provisions of Article 6(1).

Article 8

An electronic record shall be deemed an original in its own right if technical means and conditions are applied which ensure the integrity of the information contained therein from the time it is created in its final form as an electronic record, and which allow the provision of the required information upon request. The Regulations shall specify the relevant technical means and conditions.



Article 9

1. Electronic transactions and signatures shall be admissible as evidence if the electronic records thereof satisfy the requirements provided for in Article 8 of this Law.
2. Electronic transactions and signatures may be admissible as presumptive evidence even if the electronic records thereof do not satisfy the requirements provided for in Article 8 of this Law.
3. Electronic transactions, signatures, and records shall be deemed reliable evidence in transactions, and shall be deemed intact unless proven otherwise.
4. The following shall be taken into consideration when the reliability of an electronic transaction is assessed:
 - a) The method used to create, store, or communicate the electronic record and the possibility of modifying the same.
 - b) The method used to maintain the integrity of information.
 - c) The method of identifying the originator.

Chapter 3: Concluding Electronic Transactions

Article 10

1. The offer and acceptance of contracts may be expressed through an electronic transaction. A contract shall be deemed valid and enforceable if concluded in accordance with the provisions of this Law.
2. The validity or enforceability of a contract shall not be denied if the contract is concluded through one or more electronic records.

Article 11

1. Contracts may be concluded through automated electronic data systems or directly between two or more electronic data systems designed and programmed to carry out such tasks on behalf of the parties to the contract. Such contracts shall be deemed valid and legally effective despite the absence of the direct involvement of any natural person in the conclusion of the contract.
2. A contract may be concluded between an automated electronic data system and a natural person if said person is aware, or presumed to be aware, that the contract is being concluded and executed by an automated system.

Article 12

An originator shall be deemed to have issued an electronic record if the record is sent by the originator or by another person acting on his behalf, or sent by an automated system programmed by the originator to do so on his behalf. Intermediaries shall not be deemed originators. The Regulations shall specify the relevant procedures and provisions.



Article 13

1. An electronic record shall be deemed sent upon entry into a data system that is not controlled by the originator. The Regulations shall set the technical standards for data systems and the method for determining the time and place an electronic record is sent or received.
2. Acknowledgement of receipt shall take any of the forms specified in the Regulations, unless the originator and the addressee agree on a specific form.

Chapter 4: Electronic Signature

Article 14

1. If a hand-written signature is required on a document, contract, or the like, such requirement shall be deemed satisfied by an electronic signature generated in accordance with this Law. The electronic signature shall be equal to a hand-written signature, and shall have the same legal effects.
2. Any person who generates an electronic signature shall do so in accordance with the provisions of this Law and the controls, conditions, and specifications specified in the Regulations, and he shall:
 - a) take the precautions necessary to prevent the unlawful use of the signature creation data or the personal equipment relating to his signature. The Regulations shall specify such precautions; and
 - b) notify the certification service provider of any unauthorized use of his signature in accordance with the procedures specified in the Regulations.
3. If an electronic signature is provided in any legal procedure, the following shall be deemed valid, unless proven otherwise or the concerned parties agree to the contrary:
 - a) The electronic signature is the signature of the person identified in the relevant digital certificate.
 - b) The electronic signature was affixed by the person identified in the relevant digital certificate for the purpose specified therein.
 - c) The electronic transaction has not been altered after the electronic signature was affixed thereto.
4. If an electronic signature does not satisfy the conditions and controls provided for in this Law and the Regulations, the presumed validity established pursuant to paragraph (3) of this Article shall not apply to said signature nor to the electronic transaction associated therewith.
5. Any person relying on the electronic signature of another person shall exercise due diligence in verifying the authenticity of the signature using the necessary electronic signature verification data, in accordance with the procedures specified in the Regulations.



Chapter 5: Functions of the Ministry and the Commission

Article 15

Overseeing the implementation of the provisions of this Law shall be as follows:

1. The Ministry shall set the general policies and developmental plans and programs for electronic transactions and signatures, submit draft laws and proposals of amendments to existing laws, and coordinate with government agencies and other entities with regards to the implementation of this Law. The Ministry shall also represent the Kingdom in local, regional, and international organizations with regards to electronic transactions and signatures; the Ministry may, however, delegate the Commission or any other entity it deems appropriate to represent the Kingdom on its behalf.
2. The Commission shall be in charge of the implementation of this Law and shall, to this end, have the following functions:
 - a) Issuing, renewing, suspending, and revoking the licenses of certification service providers. The Regulations shall specify the conditions and procedures for the issuance, renewal, suspension, revocation, and assignment of a license; the license term; the obligations of licensees; and the controls and procedures for suspending the activities of a licensee and the legal effects thereof.
 - b) Ensuring the compliance of certification service providers with the terms of their licenses, the provisions of this Law and the Regulations, and the Commission's decisions.
 - c) Taking the necessary measures, as specified in the Regulations, to ensure the continuity of service to the clients of certification service providers upon suspension of the activities thereof or revocation or non-renewal of the license issued thereto.
 - d) Proposing draft laws and regulations relating to electronic transactions as well as amendments to existing laws and regulations, and submitting the same to the Ministry for completion of statutory procedures.
 - e) Determining the fees for licensing the provision of certification services, subject to the Minister's approval.



Chapter 6: National Center for Digital Certification

Article 16

1. A national center for digital certification shall be established at the Ministry pursuant to this Law to oversee and manage the tasks relating to the issuance of digital certificates.
2. The Regulations shall specify the Center's location, formation, powers, and tasks as well as the manner of carrying out its duties.

The Minister may assign all or some of the Center's powers to the Commission or any other entity.

Article 17

The Center shall have the power to approve digital certificates issued by foreign entities outside the Kingdom, and such certificates shall be considered equal to those issued in the Kingdom, in accordance with the controls and procedures specified in the Regulations.

Chapter 7: Duties and Responsibilities of Certification Service Providers

Article 18

A certification service provider must comply with the following:

1. Obtaining the necessary license from the Commission prior to commencing activities.
2. Issuing, delivering, and storing digital certificates in accordance with the terms of the license issued thereto by the Commission as well as the controls and procedures specified in the Regulations.
3. Using reliable means to issue, deliver, and store certificates, and taking the measures necessary to protect the certificates from forgery, fraud, and damage, in accordance with the Regulations and the terms of the license issued thereto.
4. Creating a database for certificates issued thereby; storing the data and any modifications thereto, including suspended and revoked certificates; and granting continuous electronic access to such data.
5. Maintaining, along with the employees thereof, the confidentiality of information obtained in the course of business, except for information the certificate holder consents, in writing or electronically, to the publication or disclosure thereof, or in the cases provided for by law.
6. Obtaining personal information directly from the person applying for a certificate, or obtaining such information from another person, subject to the applicant's written consent.
7. Issuing certificates with the data specified in the Regulations and in accordance with the requirements of system security and protection and system protection rules as well as the rules of digital certification set by the Center.
8. Delivering to the Commission, upon cessation of his activities, any information and documents in his possession in order for such information and documents to be disposed of in accordance with the provisions and standards provided for in the Regulations.



Article 19

A certification service provider may not cease the activities for which he is licensed, assign his license, or merge with another entity without obtaining the prior written approval of the Commission, subject to the procedures specified in the Regulations.

Article 20

A certification service provider shall guarantee the accuracy of the information contained in the certificate at the time of delivery as well as the validity of the association between the holder of the certificate and its electronic data. The certification service provider shall be liable for any damage incurred by any bona fide person relying on such information.

Article 21

A certification service provider shall revoke or suspend a certificate upon the request of the certificate holder or in the cases specified in the Regulations. In such case, he must immediately notify the certificate holder of the revocation or suspension and the grounds therefor; if such grounds cease to exist, the certification service provider shall lift the revocation or suspension. The certification service provider shall be liable for any damage incurred by any bona fide person due to his failure to suspend or revoke a certificate.

Chapter 8: Responsibilities of Certificate Holders

Article 22

1. A certificate holder shall be responsible for the integrity and confidentiality of his electronic signature system, and any use of such system shall be deemed originated by him. The certificate holder must comply with the conditions for using the certificate and for generating an electronic signature.
2. A certificate holder must provide accurate information to the certification service provider or any other party accepting his electronic signature.
3. A certificate holder must notify the certification service provider of any change to the information contained in the certificate and of the cessation of its confidentiality.
4. The holder of a suspended or revoked certificate may not reuse elements of the electronic signature associated with said certificate with another certification service provider. The Regulations shall specify the procedures necessary to prevent such reuse.



Chapter 9: Violations and Penalties

Article 23

The following acts shall be deemed violations of the provisions of this Law:

1. Engaging in the activities of a certification service provider without obtaining a license from the Commission.
2. A certification service provider's use of information relating to a person applying for a certificate for other than certification purposes, without the applicant's written or electronic consent.
3. A certification service provider's disclosure of information to which he becomes privy by virtue of his work, unless the certificate holder consents, in writing or electronically, to such disclosure or it is permitted by law.
4. A certification service provider's provision of false or misleading information to the Commission, or his misuse of certification services.
5. Creating, publishing, or using digital certificates or electronic signatures for fraudulent or any other unlawful purposes.
6. Forging electronic records, electronic signatures, or digital certificates, or knowingly using forged records, signatures, or certificates.
7. Deliberately providing false information to a certification service provider, or false information on an electronic signature to any party relying on such signature under this Law.
8. Accessing, copying, restructuring, or taking over another person's electronic signature system without valid authorization.
9. Stealing the identity of another person or falsely claiming to represent another person in applying for or accepting a digital certificate or requesting the suspension or revocation thereof.
10. Knowingly publishing a forged, false, revoked, or suspended digital certificate or placing such certificate at the disposal of another person; this shall exclude the obligation of a certification service provider provided for in Article 18(4).

Article 24

Without prejudice to any harsher penalty provided for in any other law, any person who commits any of the violations provided for in Article 23 of this Law shall be subject to a fine not exceeding five million riyals or imprisonment for a period not exceeding five years, or to both penalties. The equipment, systems, and programs used in the commission of the violation may be confiscated pursuant to a judicial ruling.

Article 25

The Commission shall, in cooperation and coordination with the competent agencies, undertake the duties of inspection as well as the detection and recording of violations provided for in Article 23 of this Law and the preparation of detection reports. The Commission may seize the equipment, systems, and programs used in the commission of the violation until a decision is issued thereon. The Governor shall issue a decision appointing the employees assigned to undertake such duties and specifying the procedures for carrying out inspection as well as detection and recording.



Article 26

The violation detection report referred to in Article 25 of this Law shall, upon the completion of the Commission's duties, be referred to the Bureau of Investigation and Public Prosecution, which shall, in accordance with its law, investigate the violations and prosecute them before the competent judicial body.

Article 27

Any person who sustains harm as a result of the violations provided for in this Law or the failure to comply with any controls or requirements provided for herein shall retain the right to file a lawsuit to claim compensation before the competent judicial body.

Chapter 10: Concluding Provisions

Article 28

The application of this Law shall not prejudice the provisions of other relevant laws, particularly provisions relating to intellectual property rights, nor the provisions of any relevant international agreements to which the Kingdom is party.

Article 29

The employees of the Ministry, Commission, and Center shall maintain the confidentiality of the information of certification service providers and the clients thereof to which they become privy in the course of their work, and shall not disclose such information for any reason, except in the cases provided for by law.

Article 30

The Minister shall, upon a recommendation by the Commission, issue the Regulations within 120 days from the issuance date of this Law.

Article 31

This Law shall enter into force 120 days from the date of its publication in the Official Gazette.



Appendix

Amendments

May 19, 2015 (Sha'ban 1, 1436H)

Royal Decree No. M/57 provides for the following:

- Amending Article 24 to read as follows:

"Without prejudice to any harsher penalty provided for in any other law, any person who commits any of the violations provided for in Article 23 of this Law shall be subject to a fine not exceeding five million riyals or imprisonment for a period not exceeding five years, or to both penalties. The equipment, systems, and programs used in the commission of the violation may be confiscated pursuant to a judicial ruling. The competent court may include in its ruling a provision for the publication of a summary thereof at the expense of the convicted person in a local newspaper published in his area of residence, or, if no newspaper is published in his area of residence, in the nearest area, or through any other medium the court deems appropriate, based on the type, gravity, and impact of the violation, provided that publication is made only after the ruling becomes final".

October 24, 2023 (Rabi' II 9, 1445H)

Council of Ministers Resolution No. 293 provides for the following:

- Amending Article 1 to read as follows:

"1. **Authority:** Digital Government Authority.

2. **Governor:** Governor of the Authority.

3. **Regulations:** Implementing Regulations of the Law.

4. **Board:** Board of Directors of the Authority.

5. **Computer:** Any stationary or portable, wired or wireless, electronic device which contains a system for processing, storing, sending, receiving, or browsing data, and performs specific functions according to programs and given commands.

6. **Person:** Any natural or legal person, whether public or private.

7. **Electronic:** Technology based on using electrical, electromagnetic, optical, or similar capabilities.

8. **Electronic Transactions:** Any exchange, communication, contracting, or other procedure performed or executed, wholly or partially, by electronic means.

9. **Electronic Data:** Data with electronic features in the form of texts, symbols, images, graphics, sounds, or any other electronic form, either collective or separate.

10. **Electronic Data System:** An electronic device or program, or more, used to generate, extract, send, transmit, receive, store, display, or process electronic data.

11. **Electronic Record:** Data which is electronically generated, sent, received, transmitted, or stored, and is retrievable in a perceivable form.



12. **Electronic Signature:** Electronic data included in, added to, or logically associated with an electronic transaction to verify the signatory's identity and approval and to detect any change made to said transaction after it is signed.
 13. **Electronic Signature System:** An electronic data system specially designed to operate independently or with another electronic data system to generate electronic signatures.
 14. **Signatory:** A person who makes an electronic signature in an electronic transaction using an electronic signature system.
 15. **Digital Certificate:** An electronic document which is issued by a certification service provider to verify the identity of the person having an electronic signature system, and which includes signature verification data.
 16. **Intermediary:** A person who receives an electronic transaction from an originator and delivers it to another person or performs other relevant services.
 17. **Originator:** A person, other than an intermediary, who sends an electronic transaction.
 18. **Addressee:** A person, other than an intermediary, to whom an electronic transaction is directed by an originator.
 19. **Certification Service Provider:** A person licensed to issue digital certificates or perform any other service or task related thereto and to electronic signatures in accordance with this Law".
- Amending Article 3 to read as follows:

"This Law shall apply to electronic transactions and signatures, excluding the following:

 - a) Transactions relating to family-related matters.
 - b) Issuance of deeds relating to the disposition of real estate, unless the entity responsible for such transactions allows that they be performed electronically, in accordance with controls set by said entity in agreement with the Authority".
 - Deleting the word "Ministry" from the title of Chapter 5 so it reads as follows:

"Chapter 5: Functions of the Authority".
 - Amending Article 15 to read as follows:

"The Authority shall be in charge of the implementation of this Law and shall, to this end, have the following functions:

 - a) Issuing, renewing, suspending, and revoking the licenses of certification service providers. The Regulations shall specify the conditions and procedures for the issuance, renewal, suspension, revocation, and assignment of a license; the license term; the obligations of licensees; and the controls and procedures for suspending the activities of a licensee and the legal effects thereof.
 - b) Ensuring the compliance of certification service providers with the terms of their licenses, the provisions of this Law and the Regulations, and the Authority's decisions.
 - c) Taking the necessary measures, as specified in the Regulations, to ensure the continuity of service to the clients of certification service providers upon suspension of the activities thereof or revocation or non-renewal of the license issued thereto.
 - d) Determining the fees for licensing the provision of certification services, subject to the Board's approval.



- e) Approving digital certificates issued by foreign entities outside the Kingdom, and such certificates shall be considered equal to those issued in the Kingdom, in accordance with the controls and procedures specified in the Regulations".
- Repealing Chapter 6 and renumbering the remaining chapters accordingly.
- Amending Article 29 to read as follows:

"The employees of the Authority shall maintain the confidentiality of the information of certification service providers and the clients thereof to which they become privy in the course of their work, and shall not disclose such information for any reason, except in the cases provided for by law".
- Amending Article 30 to read as follows:

"The Board shall issue the Regulations of this Law".